DUTIES TO EMPLOYERS

Learning Outcomes

- evaluate practices, policies, and conduct relative to the CFA Institute Code of Ethics and Standards of Professional Conduct
- explain how the practices, policies, and conduct do or do not violate the CFA Institute Code of Ethics and Standards of Professional Conduct

Loyalty

> In matters related to their employment, Members and Candidates must act for the benefit of their employer and not deprive their employer of the advantage of their skills and abilities, divulge confidential information, or otherwise cause harm to their employer.

Nickoli

Nickoli, CFA, is an investment counselor with HHI Capital Management (HHI). A colleague at her local society encourages Nickoli to leave HHI and join her at Vesuvius Asset Advisers. Nickoli eventually agrees and decides to leave at the beginning of the new year. In the weeks before submitting her resignation, she tells her clients that they will likely be working with a new investment counselor because she is leaving HHI. Her clients express surprise, and when asked for details about why she is leaving, Nickoli shares that she is frustrated by the firm's structure, disagrees with the direction the firm is going, lacks confidence in the current leadership, doubts the firm will be able to attract and retain good people, and believes other HHI employees have been mistreated and will also be leaving soon. Several of Nickoli's HHI clients indicate that they would like information about Vesuvius and might be interested in switching their accounts. After submitting her resignation, Nickoli immediately shares the names of the interested clients with Vesuvius, and after the first of the year, she begins soliciting them to transfer their accounts from HHI to her new firm.

Nickoli's conduct is

A. a violation of the Code and Standards.
B. acceptable because she did not solicit clients until after she left HHI.
C. acceptable because she is looking out for her clients' best interests and believes Vesuvius provides better service.

Analysis

A is correct. Standard IV(A) Loyalty states that CFA Institute members and candidates "must act for the benefit of their employer and not . . . otherwise cause harm to their employer." Although a departing employee is generally free to make arrangements or preparations to change firms before terminating the relationship, those preparations must not conflict with the employee's continued duty to act in the best interests of the current employer and not otherwise undermine, disparage, or cause harm to that employer. In this case, Nickoli decides to leave HHI and join Vesuvius weeks before she notifies the firm and submits her resignation. During that time, Standard IV(A) obligates her to continue to act in her current employer's best interests and not engage in any activities that would conflict with this duty until her resignation becomes effective. Nickoli violates her duty of loyalty to HHI by making disparaging and harmful statements about the firm to its clients in the weeks before she submits her resignation and by promoting Vesuvius to HHI clients while she is still employed by HHI.

might be interested in receiving information about Vesuvius and possibly transferring their accounts from HHI and then contacted them after her move to Vesuvius.

C is incorrect. Although investment professionals should protect their clients' best interests, even if Nickoli believes the clients will be better off with her at Vesuvius, the clients' relationship is with HHI. She is a representative of HHI, so she must not act in a manner harmful to the firm while still employed there.

Kuznetsov

Kuznetsov, CFA, is a portfolio manager for a medium-sized investment firm that encourages its employees to sell proprietary investment products to their clients. Kuznetsov begins selling these investment products, and within a year, he becomes the firm's top seller of the products. He receives glowing performance reviews and a large bonus. However, Kuznetsov begins to realize that the firm's investment products are underperforming and are more expensive than other, external investment options that are suitable for his clients and present stronger growth opportunities. He stops selling the firm's investment products to his clients. Although his supervisor puts increasing pressure on him to resume selling the firm's products, Kuznetsov refuses. He complains several times to management that he is being pressured to place the firm's interests above his clients. He secretly records several conversations with his supervisor and makes copies of client records that document what he considers inappropriate conduct by his supervisor. When management ignores his complaints and Kuznetsov's supervisor begins giving him poor performance reviews, he files a complaint with the local regulator against his supervisor and his firm, providing the recordings and copies of client files as evidence. After the firm becomes aware of Kuznetsov's actions, he is fired.

Kuznetsov's actions are

A. appropriate because he is protecting his clients' interests.
B. a violation of the CFA Institute Code and Standards because he fails to keep client information confidential.
C. a violation of the CFA Institute Code and Standards because he violates his duty of loyalty to his employer by taking his dispute with his supervisor to the regulator and exposing the employer to financial and reputational harm.

Analysis

A is correct. Standard IV(A) Loyalty states that CFA Institute members and candidates "must act for the benefit of their employer and not . . . divulge confidential information, or otherwise cause harm to their employer." But occasionally, circumstances might arise in which investment professionals need to engage in conduct contrary to their employer's interests to protect clients' interests. In pressuring Kuznetsov to sell more expensive, suboptimal investment products to his clients, the employer is acting in its own interests and not in the clients' best interests. Kuznetsov is clearly acting in the best interests of the clients by notifying the regulators of his employer's unethical practices.

B is incorrect. Copying client records to give to the regulator is a justifiable step for Kuznetsov to take to protect his clients' interests.

C is incorrect. In general, Kuznetsov's decision to record conversations with his supervisor and report the employer to the regulator is justified because he is attempting to protect his clients' interests by calling out his employer's unethical (and possibly illegal) conduct. However, certain jurisdictions might have laws against recording conversations without the other party's consent. Under these circumstances, his "whistle-blowing" activity is not a violation of the Code and Standards.

Clemence

Clemence, CFA, is a wealth management adviser for DeLaurier Strategic Advisers, where she is responsible for financial planning and wealth management for more than 400 retail clients. She met many of her clients through her spouse, who is a well-known attorney,

take on more research and investment management responsibilities. She leaves DeLaurier on good terms, providing her supervisor with all the background and information to seamlessly transition her clients to a new account manager. Not all of Clemence's clients have sufficient assets under management to become clients at her new firm. On the day Clemence leaves DeLaurier, she downloads a spreadsheet of DeLaurier's clients, prospects, and former clients and sends it to her personal email. The list includes names, assets under management, addresses, and phone numbers. Clemence intends to contact her clients as a courtesy to inform them of her new position, thank them for being clients, and express her confidence that DeLaurier will continue to provide them with competent and professional service even though she has left the firm.

Clemence's actions are

A. a violation of the CFA Institute Code and Standards.
B. appropriate because she is protecting the interests of her clients.
C. appropriate as long as she contacts only those clients who are personal friends to inform them of her new position.

Analysis

A is correct. Standard IV(A) Loyalty requires that CFA Institute members and candidates "act for the benefit of their employer and not . . . divulge confidential information, or otherwise cause harm to their employer." Clemence has violated her duty of loyalty to her employer by downloading the client list and taking it with her for use after she leaves DeLaurier. The client list is DeLaurier's property. The list also contains proprietary confidential information about DeLaurier clients that Clemence is improperly using for her own purposes, no matter how well intentioned those purposes might be. Clemence could have asked her employer's permission to send a "thank you" note to her clients immediately before leaving DeLaurier, thus eliminating the need to take client information with her.

B is incorrect. Clemence is clearly not motivated to use the client list and information to benefit her new firm but appears rather to be working for DeLaurier to protect the interests of her former clients and make them feel comfortable in continuing to use DeLaurier as their financial adviser. But in obtaining information about her clients, Clemence goes too far and also takes more information than perhaps intended. In addition to information about her clients she has also obtained information about the firm's former, current, and prospective clients.

C is incorrect. Clemence may contact her former clients who are friends through personal channels, such as social media or a personal contact, but she cannot use DeLaurier's property to facilitate this communication. As an alternative, she could ask DeLaurier's permission to take her clients' contact information so she can send them a final "thank you" correspondence.

Additional Compensation Arrangements

Members and Candidates must not accept gifts, benefits, compensation, or consideration that competes with or might reasonably be expected to create a conflict of interest with their employer's interest unless they obtain written consent from all parties involved.

Estevez

Estevez, CFA, is a senior research analyst at BIR, a boutique investment research firm covering micro- and small-cap companies that hire BIR to provide research coverage (called issuer-paid research) to promote their stock to investors. Because of BIR's stellar reputation, its research services are in high demand among both investors and companies seeking potential investors. Estevez helps BIR select the companies it covers and oversees a team of junior research analysts. Some companies encourage Estevez to select their company for BIR research coverage by giving her a separate bonus if they are included in the BIR research universe. Estevez's actions are

B. acceptable as long as Estevez does not use material nonpublic information from the company.

C. acceptable as long as her company approves in writing the payments offered by covered companies.

Analysis

C is correct. Standard IV(B) Additional Compensation Arrangements requires members and candidates to obtain written consent from their employer before they accept any gift, benefit, or compensation that "might reasonably be expected to create a conflict of interest with their employer's interest." Estevez receives a benefit from companies that BIR selects to receive research coverage. Estevez's involvement in the process of choosing the companies that BIR agrees to research presents a conflict of interest because she might favor those companies that pay her the bonus. Estevez would have to disclose to her company that she is receiving the benefit from the selected company, and BIR would have to disclose to the users of the report that the company paid Estevez the bonus and is paying for the research coverage.

A is incorrect. Issuer-paid research itself is not automatically unethical nor does it automatically compromise an analyst's independence and objectivity. However, this area is filled with potential conflicts, so important safeguards must be observed. BIR must adopt strict procedures to protect the analyst's objectivity from being influenced by the company. Such safeguards must also include full disclosure of any conflicts of interest on the part of the analyst conducting the research; full disclosure of any compensation arrangements, including the source of the payment for the research; and policies that separate the research recommendations from the level or nature of the payment.

B is incorrect. Even if she is not using material nonpublic information from the company, this does not alleviate Estevez's need for full disclosure and employer consent regarding her bonuses from companies.

Responsibilities of Supervisors

Members and Candidates must make reasonable efforts to ensure that anyone subject to their supervision or authority complies with applicable laws, rules, regulations, and the Code and Standards.

Duhih

RC Group (RCG) is a registered futures commission merchant with several branch offices, including one in Memphis, Tennessee (USA). Duhih, CFA, is hired to be the branch manager of the Memphis office, supervising several employees, including Lewes, CFA. Duhih allows Lewes to work from home, so Lewes does not have a physical workspace in the Memphis office or even access to the building, and Duhih only occasionally checks in with Lewes regarding work. Unknown to either Duhih or RCG, Lewes also works for another futures commission merchant, called AFCM. Lewes arranges swap agreements for AFCM, including orders with several cattle feed yard clients. Working with another employee at RCG, Lewes opens new futures accounts for the feed yard clients that RCG represents. Although the other RCG employee receives all the commissions for the accounts, she secretly splits them with Lewes. Duhih is unaware of Lewes' participation in this commission-sharing arrangement.

Duhih's actions as a supervisor are

A. a violation of the CFA Institute Code and Standards.

B. acceptable if the RCG headquarters conducts regular audits of the Memphis branch.

C. acceptable if RCG did not develop adequate policies and procedures for the detection and deterrence of possible employee misconduct.

Analysis

A is correct. Standard IV(C) Responsibilities of Supervisors states that members and candidates "must make reasonable efforts to ensure that anyone subject to their

prevent legal, regulatory, and policy violations by ensuring that effective compliance systems have been established. Although the case does not clearly present what steps Duhih took to diligently exercise supervisory responsibility, the fact that Lewes works from home and did not have access to the branch office suggests that Duhih's supervision is minimal at best and noticeably ineffective. In addition, Duhih should support his company by encouraging it to adopt a code of ethics, have clearly written compliance policies and procedures, and conduct employee training on appropriate ethical behavior.

B is not correct. A regular audit of the Memphis branch by compliance personnel from RCG headquarters could be an excellent way to ensure that branch employees are complying with applicable law, regulations, and RCG policies. However, it would not be a substitute for effective and regular supervision by Duhih, the onsite branch manager.

C is incorrect. Supervisors must understand what constitutes an adequate compliance system and make reasonable efforts to ensure that appropriate compliance procedures are established, documented, communicated to covered personnel, and followed. If Duhih knew that RCG did not have adequate policies and procedures for detecting and deterring potential employee misconduct, he was obligated to tell management about the shortcoming, help develop adequate compliance policies, or decline supervisory responsibility. A lack of adequate policies is not an excuse for failing to detect potential misconduct by RCG employees, including Lewes. Duhih should not have accepted supervisory responsibility until he understood not only RCG's policies and procedures but also the company's expectations of him with regard to maintaining his subordinates' compliance with them.

Denikin & Denikin

Sasha Denikin, CFA, began his investment career as a research analyst for Galak Investment Partners, a company founded and controlled by his father, Franz Denikin, CFA. After several years, Franz transfers ownership of Galak to Sasha, who becomes a director of the company. Franz tells the firm's clients that he retains management of all client accounts. When the longtime chief compliance officer (CCO) announces her retirement, Sasha is promoted to CCO. While Sasha has no previous compliance experience, the plan is for the prior CCO to retain compliance responsibilities as a consultant while mentoring and training Sasha. Despite his title, Sasha has no actual authority to supervise his father's conduct, and Franz continues to exert absolute control over Galak. Sasha also does not have permission to contact clients or review Galak communications with clients because his father insists that all client contact go through him. During his tenure as CCO, Sasha raises multiple compliance issues with his father regarding his father's actions, but Sasha is powerless to enforce company policies and procedures concerning his father's conduct. After continuing to serve as Galak CCO for a time, Sasha finally resigns in frustration.

Sasha Denikin's actions are

A. a violation of the CFA Institute Code and Standards.
B. acceptable because Franz holds the actual power and client responsibilities at the firm and thus cannot be under the supervision of a subordinate.
C. acceptable because Sasha resigns as CCO when he is frustrated by his inability to exercise his compliance responsibilities.

Analysis

A is correct. Standard IV(C) Responsibilities of Supervisors requires CFA Institute members and candidates to "make reasonable efforts to ensure that anyone subject to their supervision or authority complies with applicable laws, rules, regulations, and the Code and Standards." Members and candidates with supervisory responsibility must make reasonable efforts to prevent and detect violations by ensuring that effective compliance systems are established. If they cannot carry out their supervisory responsibilities because of an inadequate compliance system, they should decline in writing to accept the supervisory responsibility until the firm adopts reasonable procedures to allow for the

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responsibility for all firm employees in compliance matters. However, Sasha has difficulty performing his CCO duties because the firm's structure gives him no real authority over his father to ensure that his father's conduct complies with internal policies and regulatory rules. Sasha knows that his father is ignoring firm rules, but despite being CCO and a director of the company, Sasha has no real authority or ability to supervise and influence Franz's conduct.

B is incorrect. Franz's status as the founder and the one truly controlling the company does not exempt him from oversight by the CCO.

C is incorrect. If Sasha is unable to fulfill his responsibilities because of an inadequate compliance system or a lack of experience, he should refuse the CCO role until he has been fully trained and Galak adopts procedures allowing him to effectively exercise supervisory responsibility over his father. For example, Sasha could work with the outgoing CCO to establish a compliance program that includes a code of ethics, compliance policies and procedures, education and training programs, an incentive structure rewarding ethical behavior, and firmwide best practice standards to help meet his supervisory obligations. However, Sasha chooses to quit the CCO job and resign from the firm only after a significant period during which he fails to adequately meet his supervisory responsibilities and, likely, the best interests of the firm's clients.

Discuss Filter

Discussion

What do you want to discuss... (required)

RH For Nickoli, would it acceptable if she didn't make any negative remark until she fully left her old firm, joined the new firm, and then if asked by clients she remarks her negative opinions about her former company to switch the clients to her new firm?

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